# Humana. Claims Payment Policy

# Subject: Cost-Sharing for Cost-Share Protected Members

**Application:** Medicare Advantage and Medicaid Products
**Policy number:** CP2022006
**Related policies:** N/A

**Published date:** 12/2022
**Revision date:** 04/2026

***Disclaimer:*** *The intended audience of this medical claims payment policy is healthcare providers who treat Humana members. This policy is made available to provide information on certain Humana claims payment policies. This policy is a guideline only and does not constitute medical advice, guarantee of payment, plan pre-authorization, an explanation of benefits, or a contract. This policy does not govern whether a procedure is covered under a specific member plan or policy, nor is it intended to address every claim situation. Claims may be affected by other factors, such as: state and federal laws and regulations, provider contract terms, and our professional judgment. This policy is subject to change or termination by Humana. Humana has full and final discretionary authority for its interpretation and application. No part of this policy may be reproduced, stored in a retrieval system or transmitted, in any shape or form or by any means, electronic, mechanical, photocopying or otherwise without express written permission from Humana. When printed, this version becomes uncontrolled. For the most current information, always refer to the following website:* ***Humana.com/ClaimPaymentPolicies***

## Overview

This policy establishes Humana's expectations regarding *cost-sharing* for *cost-share* protected members.

**Medicare Advantage and Medicaid Payment Policy**
**Additional Resources on this Topic**
**Definitions of *Italicized* Terms**
**References**
**General Humana Resources**

**Claims Payment Policy**
**Subject**: Cost-Sharing for Cost-Share Protected Members
**Policy Number**: CP2022006

## Medicare Advantage and Medicaid Payment Policy

*In addition to the policy, claims payments are subject to other plan requirements for the processing and payment of claims, including, but not limited to, requirements of medical necessity and reasonableness and applicable referral or authorization requirements.*

Some members are *cost-share* protected under federal law, meaning that providers must not collect from those members the calculated *cost-sharing* for covered services. Though the collection of *cost-sharing* from a member might be forbidden, if there is a payer subsequent to Humana, it might be possible to collect that *cost-sharing* from that subsequent payer.

Humana uses *remittance advice remark codes (RARCs)* to indicate that members are *cost-share* protected. For example, a specific *RARC's* definition might be, "Alert: Patient is a Medicaid/*Qualified Medicare Beneficiary*. Review your records for any wrongfully collected deductible. This amount may be billed to a subsequent payer."

A provider should note when a Humana *electronic remittance advice (ERA)* includes such a *RARC* and react to it appropriately.

## Additional Resources on this Topic

Humana's Making it Easier web-based training series includes a video on understanding an explanation of remittance that may supplement your understanding of this policy.

## Definitions of *Italicized* Terms

- ***Cost-share***: Any portion of the amount allowed for a covered service that is attributed to deductible, copayment or coinsurance.
- ***Electronic Remittance Advice (ERA)***: An explanation from a health plan, such as Humana, to a provider about a claim payment.
- ***Qualified Medicare Beneficiary (QMB)***: A low-income Medicare beneficiary who receives Medicare coverage of Part A and Part B premiums and cost- sharing.
- ***Remittance Advice Remark Codes (RARCs)***: Additional explanation for an adjustment already described by a Claim Adjustment Reason Code (CARC) or to convey information about remittance processing.

## References


- Centers for Medicare & Medicaid Services website. Transmittal 3764, Change Request 9911 Qualified Medicare Beneficiary Indicator in the Medicare Fee-For-Service Claims Processing System. www.cms.gov.
- Centers for Medicare & Medicaid Services website. Medicare Learning Network. MLN Fact Sheet: Prohibition on Billing Qualified Medicare Beneficiaries. www.cms.gov.


## General Humana Resources

- Availity – Providers can register for access to information on a variety of topics such as eligibility, benefits, referrals, authorizations, claims and electronic remittances.
- Claims processing edit notifications – Alerts of upcoming claims payment changes are posted on the first Friday of each month.
- Claims resources – Providers can find information on referrals, authorizations, electronic claim submissions and more.
- Making it easier – This page contains an educational series for providers and healthcare professionals.
- Medical and pharmacy coverage policies – Humana publishes determinations of coverage of medical procedures, devices and medications for the treatment of various conditions. There may be variances in coverage among plans.
- Publications – This page can help you find our quarterly newsletter, provider manual and other resources to help you do business with us.

**Note**: Links to sources outside of Humana's control are verified at the time of publication. Please report broken links.